Dividends from shares

A dividend is a regular payment made to a company shareholder that is usually based on the amount of profit the company has made that year. Dividends provide a reliable stream of income for many investors.

How it works

Investors buy shares for two main reasons. The first is in anticipation of the share price going up in value, meaning that it can be sold for profit. The second is to earn an income from dividend payouts. For investors who rely on dividend income, it is important to choose shares in companies that prioritize generous dividend payments for shareholders, and to consider the type of shares bought, since not all shares guarantee a dividend. Investors may choose preference shares (*see "Need to know"*) or rely on judgment and research to pick dividend-producing shares.

3%

plus—the average S&P 500 yield

Generous dividends likely

- **The amount** of the company's income that it pays as a dividend (dividend payout ratio) is steady.
- **The company's dividend** payouts have grown by more than 5% year on year.
- **The dividend yield**—the dividend price divided by the share price—is above 2%.
- **The company** has a comfortable profit barrier (enough to pay dividends without borrowing).
- **The company's additional** profit is sufficient to preserve its current dividend level.

What makes a company likely to pay dividends?

Investors can use several measures to work out which shares will provide the safest bet, with likely regular income now and in the future. Generally speaking, they will look for companies in good financial health with a history of steady dividend payouts over several years.